

**PEAK PROPERTY PERFORMANCE®**  
• BOOK EXCERPT

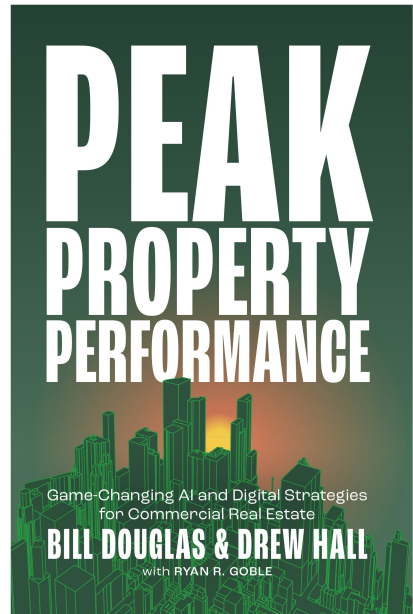
# The Hidden Data Inside Your Buildings.

*Why most CRE owners don't control their most valuable asset — and the framework that changes everything.*

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**WHAT'S INSIDE**

- **Introduction** — Hail to the Victors?
- **Chapter 1** — Clarify: Entering the Arena



## INTRODUCTION

# Hail to the Victors?

“To be successful at anything, the truth is you don’t have to be special. You just have to be what most people aren’t: consistent, determined, and willing to work for it. No shortcuts.”

—**Tom Brady**, NFL quarterback and seven-time Super Bowl champion  
(including five Super Bowl MVPs)

## LOOKING BEYOND AVERAGE

Vance and Vicki, the dynamic duo behind Victors Real Estate Group (VRE), are the epitome of hard work paying off—to a point. As former college athletes, they’ve carried their competitive spirit into the world of **commercial real estate (CRE)**, amassing an impressive and diverse portfolio of properties across the country. From office buildings to apartments, from student housing to hotels, they’ve built what many would consider a successful empire. Their investors are happy, their properties are occupied, and they’re turning a profit. By all conventional metrics, they’re winning the game.

But beneath the surface of their apparent success lies a world of untapped potential. Vance and Vicki run their business the way

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“everyone else” does it, never questioning the status quo. They signed bulk agreements with **internet service providers (ISPs)**, giving away 90 percent of significant recurring tech services revenue for the sake of convenience. Their building systems—from video surveillance to climate controls—are a patchwork of standalone networks, each operating in isolation and draining resources. Even when they invest in “smart” technology, like advanced lighting or smart locks and thermostats, the systems sit dormant or underutilized for years, their potential locked away in closets full of blinking lights that no one understands.

VRE’s property managers focus solely on filling vacancies and minimizing complaints while their building engineers scramble reactively from one problem to the next. Vance and Vicki have no real grasp on the wealth of data their properties are generating or the value that lies within it. They can’t tell you how many people use their facilities on a given day or which areas of their buildings are underutilized. They’re flying blind, relying on gut feelings and outdated practices instead of on complex data, integrated **digital infrastructures**, and strategic insights.

In essence, Vance and Vicki are leaving money (and many other benefits) on the table. They’re not dumb; they’re just average and busy in a world where average is increasingly insufficient.

As the CRE industry begins to wake up to the power of data, digital infrastructure, and **artificial intelligence (AI)**, Vance and Vicki stand at a crossroads.<sup>1</sup> Will they continue down the path of mediocrity? Or

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1 The Massachusetts Institute of Technology defines artificial intelligence as “the technology used to imitate human intelligence, enabling machines to learn and perform tasks typically associated with human intellect.” See, Massachusetts Institute of Technology, “Artificial Intelligence vs Machine Learning: What’s the Difference?” MIT Professional Education, n.d., <https://professionalprograms.mit.edu/blog/technology/machine-learning-vs-artificial-intelligence>.

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will they seize the opportunity to transform their business and build a true real estate dynasty? The potential is there, hidden in plain sight, just waiting for them to see the playing field more clearly—and take action.

## **NO INDUSTRY LEFT BEHIND . . .**

### **EXCEPT COMMERCIAL REAL ESTATE?**

Vance and Vicki may be hypothetical, but their approach mirrors that of many real-world CRE operators, including clients of OpticWise, a company that specializes in creating intelligent and highly profitable buildings through data and digital infrastructure ownership, and others. We—Bill Douglas and Drew Hall, the authors of this book—are the leadership and founders behind OpticWise, which is at the forefront of transforming the commercial real estate industry's approach to data and digital. After seeing these struggles, these strategies, and these successes time and time again, we decided to share them in this book, through these two hypothetical lead characters.

At OpticWise, our mission is to guide real estate groups like VRE from industry standard to dynasty status, by harnessing the power of data and digital ownership. As our CEO, Bill brings over three decades of entrepreneurial experience and a track record of leading companies onto the Inc. 5000 list. His innovative approaches enable property owners to create wholly owned digital ecosystems that drive income growth and improve operational efficiency. And Drew, our founder and chief systems architect, leverages his expertise in designing high-performance networks to develop solutions that empower owners to unlock the full potential of their data and digital infrastructure assets. Throughout this book, we'll cite examples

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from our professional experience, walking you through this transformation, demonstrating how owning and leveraging your data and digital infrastructure can revolutionize your operations, boost profitability, and position you as a leader in the evolving commercial real estate landscape.

Simply put, this book is about two questions:

**(1) Who owns and controls your data?**

**(2) Who owns and operates your digital infrastructure?**

... and one big idea:

**Imagine what you could do if you had  
full control of these two things.**

Because with full control of your data and your digital infrastructure, you could apply AI to transform CRE operations as you know it, resulting in the magic formula:

**Data ownership + digital infrastructure ownership +  
AI = actionable intelligence**

VRE's approach to its properties is far from the data-driven strategies some other industries employ. While Vance and Vicki struggle to see beyond traditional metrics, these other industries have long recognized the immense value of data and digital infrastructure ownership and AI-driven insights. A 2024 *Chicago Booth Review* article highlighted that "AI is transforming practically every sector of the economy . . . In finance, LLMs [large language models] are mining public data to find varied and largely unexploited

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investment opportunities—and are evolving from being analytical tools to capable decision-makers, paired with investors in the ongoing hunt for profit.”<sup>2</sup>

Let’s look at how three large, very different industry sectors—e-commerce logistics, automotive manufacturing, and finance—leverage data and digital technologies to drive efficiency, safety, and profitability. These examples highlight the stark contrast between commercial real estate’s common but outdated approach and the data-driven strategies that are reshaping industries and creating market leaders.

### **Example #1: Retail Distribution Center**

Modern distribution centers are marvels of data-driven efficiency. Every aspect of their operations is monitored, analyzed, and optimized in real time. They also own the neural pathways through which this data flows inside their facility. AI algorithms predict product demand, allowing for strategic inventory placement across their network. Robotic systems, guided by machine learning, efficiently pick and pack orders. The movement of workers, the flow of goods, and even the routes of delivery trucks are all tracked and continuously optimized. And the retailer owns all this data, from the moment an item enters its inventory facility to when it reaches the customer’s doorstep.

This analytical approach also applies to every piece of operating equipment deployed. This comprehensive data ownership allows

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2 Monika Brown, “What AI Sees in the Market (That You Might Not),” *Chicago Booth Review*, September 3, 2024, <https://www.chicagobooth.edu/review/what-ai-sees-market-that-you-might-not>.

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retailers to make rapid, informed decisions; reduce costs; and provide the lightning-fast delivery times that have become their hallmark.

### **Example #2: Automotive Assembly Plant**

At an automotive company's final assembly plant, data and AI form the backbone of the entire operation. Every step of the assembly process is meticulously tracked and analyzed. AI-powered quality control systems use computer vision to detect defects the human eye might miss. Predictive maintenance algorithms anticipate when machinery needs servicing, preventing costly breakdowns. The plant's digital infrastructure, which is wholly owned by the manufacturer, enables data aggregation from real-time monitoring of every aspect of production. This includes tracking the location and status of each vehicle as it moves through the assembly line, monitoring the performance of robotic systems, and even analyzing the movements of human workers to optimize ergonomics and efficiency.

By owning and leveraging this data, the manufacturer and its parent company can continually refine processes, improve quality, and respond quickly to any issues, maintaining their edge in the competitive automotive industry.

### **Example #3: Leading Financial Institutions**

While much is publicly known about data and digital infrastructure within companies like Amazon and Ford, leading financial institutions are notoriously protective of their technological capabilities, treating them as closely guarded trade secrets. But we do know that these firms

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work aggressively to build and maintain proprietary trading platforms, data aggregation systems, and analytical tools that give them competitive advantages in global markets. Top investment banks spend billions building their own computer systems and networks that can instantly analyze everything from standard market information (like stock prices and how many shares are being traded) to newer types of data (like social media trends or satellite images of retail parking lots).

Furthermore, many leading firms have spent hundreds of millions of dollars to move their data centers physically closer to the trading floors to save milliseconds on data transmission. While the specific implementations remain confidential, we know these firms are constantly advancing their AI and machine learning capabilities to enhance trading strategies, improve client service, and manage risk more effectively. This focus on owning and controlling their digital destiny, rather than relying on third-party vendors, allows them to rapidly adapt to changing market conditions and maintain their edge in an industry where microseconds can mean millions of dollars in profit or loss.

## ARE YOU A CONTENDER OR A CHAMPION?

As you can see, industries from e-commerce to investment to manufacturing (as well as most others not discussed here) leverage data and digital infrastructure and AI to build sustainable, dominant market positions. These companies are like the great sports dynasties that consistently outperform their rivals year after year. Now ask yourself: Do you want to be like the six-time world champion Chicago Bulls basketball team of the 1990s or like the Cleveland Browns, the perennial bottom-feeders of the National Football League for most of their existence?



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With this in mind, real estate owners, operators, managers, and investors are in a position to start asking big questions about where they want to be as this technological revolution takes shape. If Victors Real Estate Group represents the average, many in the industry are still competing like a middling team, content with playing the game but never genuinely contending for a championship or becoming a dynasty.

What are these average performers missing? Why are so many people in commercial real estate interested in remaining on the bench while other industries are changing the game?

In our industry, there's a pervasive *If it ain't broke, don't fix it* mentality. Many, like VRE, stick to traditional metrics of occupancy rates and basic financial returns. They are content with the income being generated already. They don't want to make the change or do the work.

We get it. Everyone has a fear of the unknown, the upfront costs, or even the uncertainty around **return on investment (ROI)**. In our role as CRE technology entrepreneurs, we've heard everything. Owners and management often start saying things like, "I could never afford to do something like that," "Is it really worth it?" and "What's my return?" And let's not forget: "We're not a tech company; we just lease up buildings."

What's at stake here goes far beyond immediate costs or short-term returns. Just as a sports team risks falling behind if they fail to adapt to new training methods or tactical innovations, real estate groups that ignore the power of data and AI risk becoming increasingly irrelevant in a rapidly evolving market. They're leaving money on the table, just like Vance and Vicki did—not just in terms of immediate cost savings or revenue opportunities, but also in their ability to provide better services; attract and retain tenants; and create more valuable, efficient, and sustainable properties.

### GOOD SPORTS: Serving Up Gold<sup>3</sup>

To illustrate how innovation can lead to market dominance, let's look at a recent example from the world of sports.

In beach volleyball, the Swedish duo of David Åhman and Jonatan Hellvig perfected an innovative technique called the “Swedish Jump-Set.” This move involves a player jumping as if to spike the ball, but instead setting it to their partner. The misdirection forces opponents to commit to blocking a spike that never comes, leaving them out of position for the actual attack. While Polish players initially pioneered this technique, the Swedes refined it from a young age, making it a cornerstone of their strategy. Their commitment to this unconventional approach propelled them to the top of the world rankings and ultimately to Olympic gold in Paris at the age of twenty-two!

In the world of commercial real estate, we must adopt a similar mindset of innovation and refinement. Just as the Swedish Jump-Set combines existing elements (jumping and setting) in a novel way to create a competitive advantage, we must blend our industry knowledge with cutting-edge data analytics and AI to revolutionize our operations. This could mean using predictive analytics to anticipate market trends, employing AI to optimize building systems, or leveraging big data to uncover new revenue streams. By fully committing to these technologies and continuously refining our approach, we can create our own “Jump-Set” moment—a game-changing strategy that leaves competitors scrambling to adapt.

In doing so, we won't just be participating in the market; we'll be shaping its future, winning gold medals in our field by consistently staying one jump ahead of the competition.

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3 Jimmy Golen, “Jump-setting Swedes Beat Germany to Win the Olympic Beach Volleyball Gold Medal,” Associated Press, August 10, 2024, <https://apnews.com/article/2024-olympics-beach-volleyball-men-Oda8308fd2ff-8c1f11549d86bd27d1d4>; Jimmy Golen, “‘Swedish Jump-Set’ Helps World's Top Beach Volleyball Team Reach the Medal Round at Paris Olympics,” Associated Press, August 7, 2024, <https://apnews.com/article/2024-olympics-sweden-jumpset-8157af02d1be448777d9201bc09efcbb>.

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## Key Takeaways for Real Estate

Like the two young men who perfected the revolutionary Swedish Jump-Set technique, successful real estate operators need to:

- Innovate by combining existing elements in new ways.
- Commit fully to refining and perfecting your approach.
- Use misdirection to stay ahead of competitors.
- Turn unconventional strategies into cornerstones of your success.

The choice facing CRE organizations isn't whether to innovate but how quickly one can catch up to the front-runners. The question is, will groups like VRE continue to play like a midlevel team, or will they seize the opportunity to build a true dynasty, leveraging data and AI to maximize their **net operating income (NOI)** and dominate their market for years to come?

We're here to reassure you: Becoming a champion in commercial real estate is within your reach. By developing the right vision, assembling a strong team, implementing smart strategies, employing effective tactics, and fostering a collaborative culture, you can achieve business outcomes beyond the boundaries of your imagination today.

For now, we invite you to take a courtside seat with us. We'll guide you through the process of entering the game and ultimately lead you to success. Pick your favorite sport as an analogy—we'll get you to the winner's circle, the victor's podium, the trophy presentation, or that victory lap you deserve.

But before we dive into the action, let's clarify the crucial benefits of owning your data, controlling your digital infrastructure, and leveraging AI for you and your team. These elements form the foundation

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of modern commercial real estate success. Understanding their importance is the first step toward transforming your business.

ONLY BENEFITS

When real estate owners like Vance and Vicki take control of their digital destiny, the benefits are far-reaching and transformative. By owning their data and digital infrastructure and harnessing the power of AI, they can unlock a new realm of possibilities that extend far beyond traditional real estate metrics.

This book uses Vance, Vicki, and Victors Real Estate Group—and loads of sports examples—as models to show you a step-by-step approach to creating tremendous benefits for your business and your portfolio. The book’s many sports analogies illuminate the path to peak property performance. Just as championship teams require the right combination of talent, strategy, and execution, building a real estate dynasty demands excellence across multiple domains.

To help you navigate these parallels, we’ve mapped out key elements of sports success alongside their CRE counterparts (see Figure 1). This framework will serve as your reference point as we explore how to transform your properties from average performers into market champions.

Figure 1. Sports vs. Commercial Real Estate

| Sports                          | CRE                         |
|---------------------------------|-----------------------------|
| Arena                           | CRE Vertical                |
| Ownership                       | Ownership                   |
| Management/general manager (GM) | Management                  |
| Coaches                         | Asset and property managers |
| Trainers                        | Building engineers          |

*continued*

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|                              |                              |
|------------------------------|------------------------------|
| Athlete/team performance     | Property/site performance    |
| Playbook                     | AI strategy                  |
| Fans/experience              | Tenants/user experience (UX) |
| Team stats/ <i>Moneyball</i> | Data source/data lake        |
| Revenues                     | Revenues                     |
| Operating expenses           | Operating expenses           |
| ↑↓ Profits                   | ↑↓ NOI                       |

Just as a sports dynasty leverages every aspect of the game—from player statistics to advanced analytics—to maintain its competitive edge, forward-thinking real estate groups harness the power of data, digital infrastructure, and AI to create sustainable success. While we are often quick to focus on the financial benefits of this process, other critical, purpose- and values-driven benefits can also give your organization and properties that championship edge (see Figure 2).

### Financial Benefits

By taking control of their digital infrastructure and data, CRE owners can unlock significant financial benefits. For instance, instead of settling for a mere 4 percent revenue share from bulk internet agreements, owners should earn up to \$400 per door annually. **Smart building** systems, when properly utilized, can lead to substantial operational savings to further increase NOI. Imagine the impact of a smart lighting system that’s actually connected and optimized rather than sitting dormant in a closet. Systems like these can reduce energy costs while simultaneously increasing the property’s value through improved efficiencies and increased tenant retention.

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**Figure 2. Peak-Performing Vision: The Benefits of Owning Data and Digital Infrastructure and Using AI**

| Domain      | Benefits                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Financial   | <ul style="list-style-type: none"><li>• Increased revenue from additional services and optimized space utilization</li><li>• Reduced energy costs through smart systems optimization</li><li>• Lower maintenance costs via identifying predictive maintenance opportunities</li><li>• Reduced expenses from utilities and insurance</li><li>• New revenue streams from data and technology monetization</li><li>• Improved asset valuation due to increased NOI</li></ul> |
| Operational | <ul style="list-style-type: none"><li>• Shift from reactive to proactive management</li><li>• Improved tenant satisfaction and retention</li><li>• Enhanced employee productivity and job satisfaction</li><li>• Better safety through intelligent monitoring</li><li>• Improved sustainability</li><li>• Optimized space utilization</li><li>• Streamlined vendor management</li></ul>                                                                                   |
| Competitive | <ul style="list-style-type: none"><li>• Market differentiation through smart, connected spaces</li><li>• Ability to command premium rents</li><li>• Attraction and retention of high-value tenants</li><li>• Improved investor appeal</li><li>• Industry leadership position</li><li>• Future-proofing against technological disruption</li><li>• Data-driven continuous improvement and innovation</li></ul>                                                             |

### Operational Benefits

The operational advantages of a data-driven approach are equally compelling. With the right sensors and analytics, operations managers can shift from reactive to proactive maintenance. Instead of waiting for a tenant to report a leak—a delay that can cause potentially thousands of dollars in damage—owners who have installed sensors can detect issues early, preventing costly repairs and disruptions. This proactive stance extends to all aspects of building management—everything from **heating, ventilation, and air-conditioning (HVAC)** systems to elevator maintenance.

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Imagine being able to optimize common area temperatures based on real-time and planned occupancy data, or adjusting cleaning schedules to match foot traffic patterns. As one property manager noted, knowing how many people are in the building on any given day could help optimize energy use and improve tenant services, along with reducing expenses.

Furthermore, for employees, having access to comprehensive building data means less stress and more efficient problem-solving. Companies that use this playbook generally have a more engaged and happier workforce.

### **Safety and Sustainability**

Data ownership and AI can dramatically improve building safety and sustainability. Advanced video surveillance systems, when integrated with a central data platform encompassing multiple other systems, can provide real-time security insights and faster response times to potential issues.

On the sustainability front, granular data on energy and water usage can drive significant reductions in consumption and emissions, helping properties meet increasingly stringent environmental regulations and attract environmentally conscious tenants, lenders, and investors.

### **Competitive Advantages**

Perhaps the most compelling reason to embrace data ownership and AI is the competitive advantage it provides. In a market where most players are content with average performance, those who leverage

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these technologies can create a significant competitive edge. By offering unique services to tenants, optimizing their operations in ways competitors can't match, and making more informed investment decisions, they consistently one-up the other contenders.

This advantage extends to attracting and retaining top stakeholders. In a world where companies are increasingly data-driven, tenants, banks, insurers, municipalities, contractors, and others prefer properties that can provide them with insights and efficiencies that others can't. Whether it's detailed occupancy analytics or energy usage data for environmentally conscious tenants, these capabilities can set a property apart in a crowded market.

Just as sports dynasties use every tool at their disposal to stay ahead of the competition, savvy real estate owners are using these technological advantages to build sustainable, long-term success in an increasingly competitive market. By embracing data ownership, investing in robust digital infrastructure, and leveraging AI, real estate groups can transform from average players into market leaders. You can create a virtuous cycle of improved operations, innovative solutions, increased tenant satisfaction, and enhanced profitability.

But you have to be willing to take the leap.

## **JUST DO IT!**

It's time to stop playing in the minor leagues and start building your dynasty. This book is your guide for transforming from an average player into a real estate champion. We're not here to pat you on the back for your current success; we're here to show you how much more you could achieve if you "just do it"!



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Before we enter the arena, be sure to note the following two major concepts in your guide.

1. **Data ownership + digital infrastructure ownership + AI = actionable intelligence.** This formula is your secret weapon. It's not just about collecting data; it's about owning that data, along with all of your networks, and turning it into insights you can act on. Remember that so-called smart system that's been sitting dormant for years in the closet? That's the difference between having equipment and having intelligence.
2. **Tech transformation is a team sport.** Just like you can't win a championship with a team composed of a single star player, you can't transform your real estate business with just one tech guru. From the property managers to the CFO, everyone needs to be on board. It's about aligning your entire team on the benefits we've talked about: financial gains, operational efficiencies, and competitive advantages.

Now, let's break down our game plan into five strategic moves—the five *C*'s in the 5C Framework, each of which is explored in the next five chapters. Think of these as the key plays that will take you from being like Victors Real Estate to being the real estate victors!

### The 5C Framework



#### CLARIFY (CHAPTER 1)

We're going to help you see your properties through a new lens. You will gather information about your properties, systems,

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**hardware**, teams, and so forth. We'll ensure you assess and thereby know every digital asset, data source, and operational opportunity in your portfolio.



### **CONNECT (CHAPTER 2)**

No more isolated systems! We'll show you how to connect everything—from that standalone video surveillance to your smart thermostats. Creating a unified digital nervous system for your properties will help you ensure peak performance.



### **COLLECT (CHAPTER 3)**

This is where we bring together your all-star lineup of people, systems, data, and infrastructure. We're not just talking about hiring data help; we're talking about creating a data-driven culture across your entire organization, starting from the top. We'll help you focus on collecting all of your data in a single location that you own and control.



### **COORDINATE (CHAPTER 4)**

Time for training camp, where we transform individual talents into a championship team. We'll get all of your systems playing the same game, running from the unified playbook, and communicating seamlessly. Imagine your building anticipating its own needs, making real-time adjustments like a quarterback reads the defense. You'll have the insight of a coach up in the booth, spotting opportunities and potential issues before they happen.



## **CONTROL (CHAPTER 5)**

Start calling the shots based on real-time, actionable intelligence. We'll help you set up dashboards that give you a bird's-eye view of your entire portfolio, identify the initiatives that promise the most significant impact, and get your entire management team thinking like data-driven champions.

Once you reach this fifth level, executives and owners may choose to achieve another final *C*: You may become a champion, as discussed in the final chapter.



## **CHAMPION (CHAPTER 6)**

With your systems and initial successes in place, it's time to transform yourself and your organization for sustainable excellence. Like great sports dynasties, peak performance requires more than just good systems—it demands visionary leadership and organizational transformation. We'll show you how to make the crucial transition from working *in* your business to working *on* it, building your talent pipeline and creating a culture of excellence. You'll learn to move from the field to the skybox, seeing your entire portfolio with strategic clarity while applying data-driven insights at scale.

At this point, the focus shifts from individual property success to portfolio-wide excellence, requiring new levels of personal stamina and strategic thinking. Through this evolution in leadership and systematic optimization, you won't just

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be managing properties—you'll be building a commercial real estate dynasty that stands the test of time.

Like the gold medalist Swedish beach volleyball duo, we need to perfect our own jump-set in real estate—a unique combination of data ownership, digital infrastructure, and AI that will leave our competitors scrambling to adapt. In the following chapters, we'll dive deep into each of these strategies, showing you exactly how to implement them in your business. We'll share real-world examples, provide practical tools, and guide you step-by-step toward becoming a data-driven, AI-enabled CRE powerhouse.

Remember Vance and Vicki? Like them, you're intelligent and hard-working. But we've collaborated with enough clients to know we can all work smarter. Why settle for average in a world where average isn't good enough? It's time to stop leaving all those benefits and money on the table and start building a real estate dynasty.

Are you ready to just do it?

## CHAPTER 1

# Clarify: Entering the Arena

“I believe in the basics: attention to, and perfection of, tiny details that might be commonly overlooked. . . .

They are the difference between champions  
and near champions.”

—**John Wooden**, legendary UCLA basketball coach  
and ten-time NCAA champion

### GAME ON!

Vance and Vicki, the founders and leaders of Victors Real Estate Group (VRE), sat in their sleek downtown office, surrounded by blueprints and financial reports. Despite their apparent success, a recent meeting with their bank had left them uneasy. The banker’s words still rang in their ears. “Your ratios are off,” he’d said. “These market changes are bringing you close to being out of covenant.”

The couple had exchanged worried glances. Their returns—consistent yet average—might not be enough for Victors Real Estate Group to thrive in today’s market.

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At the root of their problem was the changing economic landscape: The steady climb of interest rates had put pressure on their debt-to-income ratios. Their once-comfortable margins were now being squeezed by rising **operating expenses (OpEx)**, particularly in utilities, insurance, and maintenance. To make matters worse, occupancy rates in some of their older properties started slipping as newer, more technologically advanced buildings entered the market. The bank, sensing increased risk, was now demanding improved returns in order to maintain VRE's loans.

Vance and Vicki realized they were facing a critical juncture: innovate and improve their portfolio's performance or risk being forced to sell off assets.

Determined not to let their real estate portfolio fall apart, they needed a fresh perspective. Their current operations strategies, while solid by traditional standards, clearly were no longer enough. They needed new advice and direction from someone who could help them see beyond the conventional metrics of occupancy rates and rental income—someone who could unlock the hidden potential in their properties and bring them into the digital age.

Vicki suddenly remembered a conversation they'd had at a recent real estate conference about the transformative power of **data and digital infrastructure** in property operations. Perhaps it was time, she and Vance decided, to bring in some experts.

Eager to stay ahead, they called in a pair of CRE technology consultants, Dave and Kaylie from OpticWise, to discuss how they could build truly championship properties. As the consultants entered the conference room, Vance leaned forward, his competitive spirit from his college athlete days kicking in. "We've got properties across the

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country,” he began, “but we need to do better. How can we turn these average-performing properties into champions?”

Dave, a seasoned executive and consultant, smiled knowingly. “First things first,” he said, pulling out a tablet. “We need to see your properties with new eyes. We’ll start by identifying every digital asset, every data source, and every opportunity on a couple of your properties. Let’s begin with the properties where you think we can make an impact.”

Vicki raised an eyebrow, intrigued. “What do you mean by ‘every data source’?” she asked. “We’ve got our financial reports right here.”

Kaylie, a true digital architect, was no stranger to consulting with hesitant clients. “Those reports are just the tip of the iceberg,” she explained, nodding her head. “We’re talking about auditing *all* of your systems—physical and digital, from your HVAC and security systems to your internet infrastructure and beyond. It’s time to uncover the hidden potential in your properties.”

Both Vance and Vicki perked up at those words, feeling a strong uptick in energy. They were about to see their properties in a whole new light, with Dave and Kaylie as their guide. The goal? To gain clarity on their digital infrastructure and the data assets that can impact both their residents’ experience and VRE’s bottom line.

### Chapter 1 Goals

In this chapter, we tackle Clarity—the first critical step in building a championship real estate portfolio. Just as winning teams must thoroughly understand their roster’s true capabilities before they can compete at the highest level, you’ll learn to see your properties’ full technological potential.

We’ll show you how to use the **Data & Digital Infrastructure**

*continued*

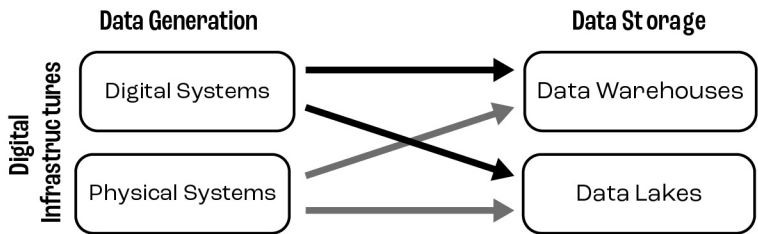
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**Audit (DDIA)** tool to uncover hidden value, navigate the six key areas of digital infrastructure that exist in every building, and apply five game-changing questions to evaluate and maximize your technology investments.

Whether you’re working with existing buildings or planning new construction, you’ll gain the tools required to see beyond traditional metrics and transform average properties into real estate champions. Are you ready to step into the arena and build your dynasty?

FROM CLOUDY TO CLARITY

Clarifying your digital infrastructure—and the data it generates—involves thoroughly checking all physical and digital systems within your property. This process goes beyond identifying traditional assets like HVAC and security systems; it also encompasses newer technologies such as **Internet of Things (IoT)** devices, smart systems, advanced energy management systems, and so forth. The goal is to create a clear picture of your entire technology ecosystem.





## Clarify: Entering the Arena

Digital infrastructures are composed of the following elements:

- **Digital systems** include the multiple CRE software-driven platforms employed to operate a property. These systems, which process and may even store their own generated data, include HVAC, the **building management systems (BMS)**, the **building automation systems (BAS)**, leak detection, security and parking systems, and many others.
- **Physical systems** are the various hardware and tangible apparatus, including the equipment and networks that form the backbone of a CRE facility. Physical systems comprise wires, sensors, networks, switches, racks, cabinets, displays, computers (desktops, notebooks, servers), and such.

Data infrastructures, on the other hand, comprise the following:

- **Data warehouses and data lakes** store the digital data created by all the systems listed earlier. (See appendix D for more on the distinction between lakes and warehouses.)
- **Data pools** are created by individual digital or physical systems within any property.

Start by gaining an understanding of what systems you have, how they're physically and digitally connected, what data they're generating, and who owns that data and infrastructure. This requires examining everything from the cables running through your walls to the cloud-based software managing your various operations.

For instance, you might discover that your property has occupancy sensors installed but they are not being properly utilized, or that your

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access control system is generating valuable foot traffic data that you're not leveraging. You might find that your energy management system is capable of much more granular control than you currently employ or that your tenant management software contains a wealth of untapped insights about lease patterns and tenant preferences.

Notably, citing a real estate technology survey conducted in 2023, Jones Lang LaSalle reported that “most companies are struggling to realize the benefits of the technologies they’ve already adopted; fewer than 40 percent consider their existing tech programs to be very successful in meeting their initial objectives.”<sup>4</sup> One Top 50 Operator according to the National Multifamily Housing Council illustrated this challenge in a survey conducted by OpticWise with Enoch & Company, providing a ground-level perspective by sharing how “innovations tend to be fragmented”—such as “separate apps for different functions that become obsolete,” and “door lock systems where the first to market is [now] out of business.”<sup>5</sup>

To move beyond these muddled approaches to data and digital infrastructures, you and your team need to work toward clarity and a shared vision. Why does clarity matter so much? Because with an honest, well-defined evaluation of your current data and digital infrastructures, you can achieve a number of crucial, transformative goals for your CRE organization, including the following.

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4 Jones Lang LaSalle, Inc., *Global Real Estate Technology Survey*, October 2023, <https://www.jllt.com/research/global-real-estate-technology-survey-2023>.

5 Enoch & Company, *What Owners Want: Insights for Future-Ready Living—2024 Edition*, <https://doc.opticwise.cloud/future-ready-living>.

### **Identify Inefficiencies and Redundancies**

Many property owners unknowingly pay for multiple networks or systems that could be consolidated instead. Why tolerate multiple, disparate networks within a building when one unified system would be more efficient, cost-effective, resilient, and powerful? For example, you might needlessly be maintaining separate networks for security cameras, HVAC controls, and internet access, each with its own **capital expenditures (CapEx)**, maintenance costs, and complexities. By identifying redundancies, you can potentially save tens of thousands of dollars annually per property.

### **Uncover Hidden Asset Value**

Many buildings have underutilized or dormant smart systems. By auditing all of your systems, you might discover powerful tools for energy optimization, predictive maintenance, and improved tenant satisfaction that you're not fully leveraging. Activating these systems could significantly increase your property's efficiency and value.

### **Maintain Data Ownership and Control**

In today's digital age, many property owners inadvertently give away valuable data to vendors. For instance, your elevator maintenance company might collect usage data that could inform your energy management strategies, or your parking system might gather information about visitor patterns that could optimize your retail mix. By clarifying data ownership, you can take control of these valuable data

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assets, drive better decision-making, reduce operating expenses, and create new revenue streams.

### **Assess How Well Systems Work**

The process of assessing your existing infrastructure can reveal opportunities for improvement or replacement of underperforming systems. By ensuring every piece of your digital infrastructure contributes to your property's success, you can maximize overall performance and value.

### **Trust the Process**

Gaining clarity on the physical and digital systems within your digital infrastructure requires a systematic process. It takes time, effort, expertise, and a deeply methodical approach to unearth all the information you need to get your properties operating at the championship level. This process typically involves the following steps:

1. **Physical inspection.** Schedule a thorough walkthrough of your properties, identifying and documenting all visible technology assets. Your staff is fully capable of this, given the proper direction. In fact, they may have done this already, but we often find that little to no network documentation has been completed.
2. **Documentation review.** Examine all available system documentation, including user manuals, network diagrams, and maintenance records.
3. **Stakeholder interviews.** Speak with staff and vendors (and sometimes even tenants) to understand how systems are being used and what pain points exist.

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4. Data sources and storage analysis. Review the outputs of your various systems to understand what data is being generated, how it is (or isn't) being used, where it is stored, and who owns it.
5. Contract and ownership review. Examine all technology-related contracts to understand terms, ownership clauses, and service levels. The bottom line is, who owns and controls what?
6. Gap analysis. Identify discrepancies between what systems you have, what you're actually using, and what you need.
7. Recommendation development. Based on all the aforementioned steps, create a plan for optimizing your digital infrastructure and gathering all of your disparate data.

This assessment process can be challenging, especially for larger or older portfolios. You may encounter resistance from staff who are comfortable with existing systems or vendors who benefit from the status quo. You might also face technical challenges when connecting to legacy systems or extracting data from proprietary platforms. Stand firm and resolve to move forward with your long-term goals in mind. The potential benefits of gaining clarity around your digital infrastructure far outweigh these temporary hurdles.

## WHAT'S IN YOUR CLUBHOUSE? THE SIX KEY AREAS OF DIGITAL INFRASTRUCTURE

As we dive deeper into the world of CRE data and digital infrastructures, it's crucial to understand the various systems and data types that exist within a property. These systems, when properly optimized, can transform a building from a static asset into a dynamic, responsive

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environment that enhances tenant experience, reduces costs, and unlocks new income streams.

As Dave and Kaylie emphasized in their consultation with Vance and Vicki, many property owners are unaware of the full capabilities of the systems they already have in place. Often they're paying for multiple networks or systems that could be consolidated, or leaving valuable digital assets dormant in those closets full of mysterious blinking lights.

When you begin looking closer at your properties, you will encounter six categories of data and digital infrastructures that you'll need to assess carefully. Let's briefly explore each of these **data and digital infrastructure domains** and how they can be leveraged to create a truly intelligent, efficient, enjoyable, and profitable property.

### 1. Network Infrastructure and IoT

This foundational category includes systems like common area and tenant WiFi, internet circuits, and voice services. It also encompasses IoT devices such as smart building technologies, leak detection, occupancy sensors, temperature and humidity sensors, and asset tracking systems. These and many other sensors and systems form the backbone of a smart building, enabling communication between various platforms and collecting vital data on building usage and conditions.

Essential role: Supports your entire smart building ecosystem.

### 2. Security, Access Control, and Risk Management

This category covers traditional security measures like access controls, surveillance, and video recording, as well as broader risk management

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tools such as insurance or environmental compliance management. These systems not only protect the property but also generate valuable data on building access patterns and potential risks.

Essential role: Protects your assets, your data, and your tenants.

### **3. Energy, Environmental Management, and Sustainability**

This expansive category includes systems for managing energy, water, and air quality. It covers everything from HVAC optimization and smart thermostats to carbon footprint tracking and green building certification management. These systems can significantly reduce OpEx while improving tenant comfort and meeting sustainability goals.

Essential role: Optimizes energy use and reduces costs.

### **4. Property Operations and Tenant Experience**

This category focuses on the day-to-day operations of the property and the enhancement of tenant satisfaction. It includes systems for facilities operations, parking management, and tenant communication platforms. These tools can make operations smoother, improve tenant engagement, and provide valuable insights into how the building is being used.

Essential role: Enhances tenant satisfaction and retention.

### **5. Financial and Asset Management**

This category includes tools for tracking operating expenses, predicting maintenance needs, valuing assets, and analyzing investment

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performance. These systems provide the insights necessary for making informed decisions about financial and investment strategies.

Essential role: Maximizes returns on your investments.

### 6. Data Aggregation and Analytics

This forward-looking category encompasses advanced tools for data analysis and predictive modeling. It includes **business intelligence (BI)** platforms, which comprise AI as well as natural language processing (which enables computers to understand, process, and respond to human language), machine learning (which allows AI systems to improve their performance and learn from their experiences), and robotics process automation (the technology that automates manual and repetitive tasks). Also included in this domain are benchmarking tools and predictive analytics that can gather important insights from the wealth of data generated by other systems.

Essential role: Turns raw data into actionable intelligence.

### LET'S DO AN AUDIT

As teams gain clarity on these systems and the data they generate, property owners can move beyond focusing solely on traditional metrics like occupancy and rent rolls and start seeing their properties with fresh perspective. Taking this comprehensive viewpoint, owners can identify operational inefficiencies, discover underutilized assets, and develop innovative solutions to set their properties apart in a competitive market.

Notably, one of the most common findings when we do these data and digital inventory audits is expensive, unnecessary redundancies. Continuing with our sports analogy, let's imagine a team chartering



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multiple private planes, with each flying a single player to a game, instead of using one jet for the whole team. While this idea sounds absurd in the sports context, it is how many buildings operate. We often find that clients have multiple, disconnected physical and digital systems, each running on its own “network plane” instead of on a unified, resilient, secure digital infrastructure.

Our approach is to consolidate these systems into one unified “team plane,” reducing costs and complexity while improving overall performance and data integration. This consolidation not only streamlines operations but also opens up new possibilities for data utilization.

In this digital age, it’s crucial to remember an oft-repeated mantra: *If you’re not monetizing your data, then someone else probably is.* By understanding and optimizing your digital infrastructure and asserting ownership over your data, you can unlock its full potential instead of leaving money on the table. With this shift in perspective, property owners can transform themselves from average players to real estate champions.

Ultimately, performing an audit is the first step in creating properties that are not just rentable spaces but highly profitable assets. By seeing your properties through this new lens and leveraging the power of connected systems and data, you can achieve a level of performance and value creation that sets you apart in the competitive real estate market.

## **PURPOSE + POTENTIAL = PEAK PERFORMANCE**

Just as Billy Beane revolutionized baseball by looking at player statistics in a new way, we can transform real estate operations by reexamining our physical and digital systems. For property owners to maximize an asset’s

### GOOD SPORTS: Clarify What You've Got

Seeing your assets through a new lens is a powerful approach that can lead to revolutionary change, whether in life generally, in commercial real estate, or in the world of sports. Michael Lewis's groundbreaking book *Moneyball: The Art of Winning an Unfair Game*, later adapted into a critically acclaimed film starring Brad Pitt, tells the story of how General Manager Billy Beane and the Oakland A's revolutionized baseball by looking at things from a different angle.

At its core, *Moneyball* is about gaining clarity on your assets and understanding their true value, a lesson that also resonates powerfully in the world of commercial real estate. Beane and his team realized that traditional scouting methods, which emphasized easily visible attributes like a player's physique or raw power, were overlooking crucial data that truly correlated with winning games. They focused instead on statistics like on-base percentage and slugging percentage (the number of bases players take divided by the number of times they are at bat), which provide a clearer picture of a player's actual contribution to the team's success.

"We're not selling jeans here," Beane often repeated to his scouts—a powerful reminder not to be overly concerned with a player's appearance and other traditional data points. This approach serves real estate professionals just as well, reminding us to clarify and understand the underlying systems and data that can truly enhance value.

The book presents this new way of seeing players in, for example, the drafting of Mark Teahen, a college player overlooked by other teams because he didn't fit the traditional mold of a power-hitting third baseman. While other teams were fixated on home run totals, the A's looked deeper, recognizing that Teahen's high on-base percentage (.493) and slugging percentage (.624) indicated he was an excellent overall hitter with growth potential.

As Beane famously said, "Power is something that can be acquired. Good hitters develop power. Power hitters don't become

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good hitters.”<sup>6</sup> This insight allowed the A’s to see value where others didn’t. Savvy real estate professionals do the same thing when they find overlooked opportunities by looking beyond surface-level metrics.

The team’s approach to clarifying what they had—and what the organization needed—led to remarkable success, allowing the A’s to compete with teams that had much larger payrolls. This method of gaining clarity on the true value of assets spread throughout professional baseball, culminating in historic World Series victories for the Boston Red Sox in 2004 and the Chicago Cubs in 2016—both led by Billy Beane’s protégé, Theo Epstein.

In commercial real estate, we must adopt a similar mindset. Just as the A’s transformed baseball by seeing the game from a new angle, looking deeper into the available data to understand a player’s true value, we can revolutionize commercial real estate by looking beyond a property’s surface-level attributes or traditional metrics and recognizing what the property truly has to offer.

As a CRE owner, you must develop clarity around your physical and digital infrastructure and the data assets they generate, understanding how they contribute to your success. This is where the magic happens, as you uncover hidden efficiencies, create new revenue streams, and achieve unprecedented value for tenants, management, and owners alike.

### Key Takeaways for Real Estate

- Clarify new, meaningful metrics.
- Challenge traditional valuation methods.
- Identify and leverage undervalued assets.
- Use data to drive decision-making.
- Look beyond surface-level appearances to find true value.

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6 Michael Lewis, *Moneyball: The Art of Winning an Unfair Game* (W. W. Norton, 2004).

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value, we need to understand the purpose, potential, and performance of each data and digital infrastructure domain. The fundamental lessons from *Moneyball* directly apply to the CRE industry: Clarify new and meaningful metrics. Challenge traditional valuation methods. Identify and leverage undervalued assets. Use data to drive decision-making. And look beyond surface-level appearances to find true value.

To apply this approach to real estate, we need to ask the right questions about our assets. As Dave and Kaylie had explained to Vance and Vicki, asking the following five key questions about any tool or asset can uncover hidden potential and drive significant improvements in your properties:

1. What are you trying to accomplish with this digital tool (including software and data)? Property owners need to understand the real purpose of each piece of digital infrastructure and data flow. That's why this question is crucial: It forces property owners to clearly state what they want to achieve with each system.

For example, consider an intelligent lighting system. Is it merely turning lights on and off, or could it be doing more? A well-utilized lighting system could optimize energy usage, provide valuable occupancy data, or even improve tenant experience through customizable lighting scenarios at certain times of the day. By clearly defining your objectives, you can ensure you're leveraging each tool to its fullest potential.

2. Does this tool meet your requirements? Many systems are capable of much more than their current use. So, this question goes beyond just checking whether the system is functioning. Even a yes answer leaves room for improvement.

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Take, for example, a building management system. On the surface, it might appear to be meeting basic requirements for indoor environmental control. However, digging deeper, you might discover advanced features that, when activated and integrated with other sensors, could reduce energy consumption by as much as 18 percent. Such an optimization could lead to significant cost savings—for a large property, hundreds of thousands of dollars annually.

If you discover no requirements related to this tool's capabilities, then consider removing it from the property. There is no need to keep a system forever; just because it's there today doesn't mean it has to be there tomorrow. What's the ROI? If it's low or zero, consider nixing the system.

3. Is each contract aligned with your goals, requirements, and budget? Is the vendor following through, and are its services and terms appropriate? Many vendor contracts escalate over time, and you might be paying for support or services you no longer use. Asking these questions ensures you're getting proper value for the money spent.

Be wary of contracts that offer attractive initial terms but have steep escalations built in; it's not uncommon for service rates to drastically increase once the initial contract period ends. Regularly review your vendors and contracts for these hidden costs and to ensure you're not overpaying—or paying for obsolete or unused services.

4. Do you own and control the data generated by your physical and digital systems? If the answer is *No, we don't own the data*, then who owns it? If the answer is *yes*, then how can you access

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it—or better yet, how can you own and *control* it? This critical question speaks to the heart of data ownership and utilization. Remember, if you're not monetizing your data, then someone else probably is.

Data access can drive significant value in unexpected ways. For instance, data from your access control system could provide insights about space utilization and whether tenants might pay a premium to access that space. Likewise, occupancy data could be used to optimize cleaning schedules or adjust common area temperatures, improving efficiency and reducing costs.

Moreover, understanding your data access is essential for analytics leading to business intelligence. By knowing what data you have access to and how you can access it, you can start to see opportunities for blending data from different systems, unlocking new insights and efficiencies within your portfolio.

5. Do the digital infrastructure and data meet security and privacy standards? Working with vendors, contractors, and consultants who prioritize data security and privacy to protect your new network is critical to the long-term success of any property in the twenty-first century. Furthermore, compliance with data protection regulations is a necessity, as is maintaining transparency with tenants about data collection and usage.

Any data discussed in this book refers specifically to data generated and/or owned by the property and is typically (but not exclusively) focused on operations data. We are advocates for never collecting any user data, and we strongly believe in user privacy. A tenant's data is their data, just as your building's data is your data. Therefore, we strongly recommend *not* collecting

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any personally identifiable information about tenants—and proudly stating this in your privacy statements. Privacy should be a competitive advantage, positioning the property as not just smart but also secure and respectful of every user's privacy. Why just meet privacy standards when you could *exceed* them?

In essence, these five questions aim to help you see your data and digital infrastructure in new ways. By thoroughly understanding both your data sources and your digital infrastructure—including what they're capable of and who owns each of them—you can find overlooked value and transform your approach to operations and property management. This is how average players in the real estate game become champions, creating properties that are not just spaces but intelligent, efficient, and highly profitable assets.

By systematically applying these questions to each category of data and digital infrastructure, property owners can break free of the status quo, overcome the *If it ain't broke, don't fix it* mentality, and view their properties with renewed insight.

## WAIT, WHICH FIELD ARE WE PLAYING ON?

When considering data and digital infrastructure in commercial real estate, it's crucial to understand the distinct opportunities and challenges presented by brownfield (existing property) and greenfield (new construction) projects. These two scenarios have significantly different financial levers and considerations (see Figure 3).

**Brownfield projects** involve working with existing buildings and infrastructures, often with a focus on expense reduction and

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improving current setups. Many brownfield properties haven't been thoroughly analyzed in years, leading to unsupported equipment and/or contracts that have transitioned to month-to-month terms with escalating costs.

This situation often presents opportunities for significant cost savings when property owners can reevaluate and renegotiate contracts or improve existing systems that may be underused or improperly configured. Sometimes, antiquated systems should be shut down. And sometimes, upgrades are required to meet new ownership requirements.

Brownfield projects can face challenges, however, particularly in retrofitting. For instance, we've observed that retrofitting apartments with modern WiFi is typically more difficult and expensive than in office buildings. Residential construction has finished surfaces on ceilings, so disruptive and costly renovations are often required to accomplish the retrofit. This can be inconvenient for both the owners and the current tenants.

Despite these complications, the ROI on consolidating and managing the digital infrastructure of brownfield projects, coupled with the benefits of data aggregation, is very attractive, and property owners can expect significant impact on their net operating income (NOI).

**Greenfield projects**, on the other hand, offer much more flexibility and potential to save on build cost (i.e., CapEx), coupled with long-term additional revenue generation. Designing the digital infrastructure from the ground up can mean fewer networks are needed, potentially reducing the number of data closets and specifying more streamlined, efficient systems.

In greenfield projects, proper planning can significantly reduce both CapEx and OpEx. Avoid the temptation to over-engineer new



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buildings, incorporating far more cabling and data closets than necessary. This not only wastes valuable, would-be rentable space but also increases build costs unnecessarily.

**Figure 3. Greenfield vs. Brownfield: A Comparison**

| Factor         | Impact on Brownfield<br>(Existing Properties)                                                                                                                                     | Impact on Greenfield<br>(New Construction)                                                                                                                                            |
|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>CapEx</b>   | <b>Low to Medium</b> <ul style="list-style-type: none"><li>• Limited by system upgrades</li><li>• Apartment retrofit costs can be significant for some systems</li></ul>          | <b>High</b> <ul style="list-style-type: none"><li>• Opportunity to significantly impact total build cost</li><li>• Can specify all digital infrastructure</li></ul>                   |
| <b>OpEx</b>    | <b>Medium to High</b> <ul style="list-style-type: none"><li>• Potential for significant reduction</li><li>• May have existing inefficient systems</li></ul>                       | <b>Medium to High</b> <ul style="list-style-type: none"><li>• Can design for optimal efficiency</li><li>• Opportunity to minimize operating costs</li></ul>                           |
| <b>Revenue</b> | <b>Low to Medium</b> <ul style="list-style-type: none"><li>• Limited by existing infrastructure</li><li>• Potential for some new services</li><li>• Cost savings driven</li></ul> | <b>Medium to High</b> <ul style="list-style-type: none"><li>• New revenue streams</li><li>• Full flexibility in service offerings</li><li>• Both revenue and savings driven</li></ul> |

In summary, brownfield projects should focus on expense reduction and the optimization of existing systems; they tend to involve not only more challenges but also greater costs to achieve new revenue generation. Meanwhile, greenfield projects offer greater flexibility and potential for both long-term OpEx savings and revenue generation; they also present the opportunity for significant CapEx reduction during the build process. By understanding these differences and leveraging the appropriate financial levers, property owners can make informed decisions about optimizing their existing properties and plan effectively. In both cases, however, ownership of data and digital infrastructures is crucial.

We strongly believe that property owners should own their digital infrastructure and everything that attaches to it, *and* should own their

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data rather than giving that pathway and information away to third parties. In both cases, we aim to move beyond traditional metrics and unlock hidden value. This strategic approach to data and digital infrastructures is key to transforming yourself from an average performer to a real estate champion.

### BRING IT ON!

As twilight settled over the city skyline, Vance and Vicki leaned back in their chairs, their minds reeling from the possibilities and questions Dave and Kaylie had presented. The stacks of financial reports that had once seemed so comprehensive now appeared woefully inadequate.

Vance broke the silence, his voice filled with determination. “I think I finally understand what you mean by seeing our properties with new eyes,” he said. “We’ve been so fixated on occupancy rates and pure financials that we’ve been blind to the untapped potential right under our noses.”

Vicki nodded emphatically. “It’s like we’ve been coaching a championship team but only utilizing half our roster, not even realizing the depth of talent we had on the bench.”

After a moment of shared reflection, Vance spoke up. “First, I want to tackle our ten-story office building downtown. It’s been a solid performer, but with what we’ve learned today, I bet we could transform it into an MVP.”

Vicki’s eyes sparkled with excitement. “And that new apartment complex we’re planning in the suburbs—we need to completely reimagine our approach. We have an incredible opportunity to build it right from the foundation up, integrating everything we’ve discussed.”

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Dave nodded approvingly. “Excellent choices. For the downtown office property, we’re looking at potentially boosting your NOI by \$0.90 per square foot annually. We’ll use a combination of slashing energy costs, creating new revenue streams, leveraging your data, and streamlining operations for peak efficiency.”

Kaylie leaned in. “And for the suburban apartment project, we’re talking about significant reductions on your initial build costs by optimizing your digital infrastructure design from the get-go. In the long term, you could be looking at up to \$650 per door in additional annual NOI generated from new revenues and all the operating savings. That’s the power of getting it right from the start.”

Vance and Vicki exchanged glances. These projections far exceeded anything they had previously imagined possible.

“So, what’s our game plan?” Vicki asked, her voice brimming with enthusiasm. “How do we start transforming these properties from average players into champions?”

“Well, that’s where the real work begins,” Dave replied. “To unlock the potential of your properties, we need to dive deep into the playbook of data-driven real estate operations. It’s not just about installing new systems or collecting data. It’s about fundamentally reshaping how you view your properties, your data, and your entire operation.”

Kaylie nodded eagerly. “We’re talking about a complete paradigm shift. You need to start seeing your buildings as more than physical assets—as complex, data-generating ecosystems. Are you prepared to challenge everything you thought you knew about property operations and development?”

The challenge was indeed daunting. Were Vance and Vicki ready to question long-held assumptions and push beyond their comfort

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zone? Could they envision a future where data and digital infrastructures were as crucial to their success as bricks and mortar?

The two owners shared a look before turning back to the consultants. “We’re ready,” Vance said, his voice firm. “What’s our first move?”

Dave smiled, a glint of excitement in his eyes. “Your first move is to prepare for a deep dive. We’re going to take you through every system, every data point, every contract. We’ll uncover inefficiencies you never knew existed and opportunities you never imagined possible.”

“Bring it on!” Vicki cried, her competitive spirit fully ignited. “We didn’t build this company by shying away from challenges. If this is what it takes to build a real estate dynasty, then that’s what we’ll do.”

As they left the office that evening, Vance and Vicki knew the next morning would mark the beginning of a whole new ballgame in their real estate career. The question was no longer whether they were ready to take the leap, but how high they could soar.

### CHAPTER 1 TAKEAWAYS

1. Challenge the status quo. Be prepared to question long-held assumptions and push beyond your comfort zone to revolutionize your property operations.
2. Clarity is key. Understanding your data and digital infrastructures is crucial for unlocking your properties’ full potential. Use the DDIA tool to gain a comprehensive view of your assets.

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3. Consolidate for success. Understand how the six key areas of digital infrastructure work together to create an intelligent building ecosystem.
4. Ask the right questions. Uncover hidden value and drive improvements by asking the five game-changing questions about each of the digital tools in your arsenal.
5. Take ownership of your data. Ensure you own and can access the data generated by your systems to create new value and revenue streams.
6. Know your playing field. Recognize the distinct challenges and opportunities inherent in brownfield and greenfield projects and tailor your strategy accordingly.
7. Embrace the paradigm shift. View your properties not just as physical assets but as complex, data-generating ecosystems with untapped potential.

### TAKE ACTION

Complete the Data & Digital Infrastructure Audit (see appendix B) for your properties. This crucial step will provide the foundation for your transformation into a data-driven real estate champion.

# You've seen the playbook. Now run the first play.

The chapter you just finished introduces the first move in the PPP 5C™ plan: **Clarify**. Mapping who owns what, where data lives, where leakage starts, and which systems are quietly running the asset on your behalf.

That's exactly what a Data & Digital Infrastructure (DDI) Review delivers — also known as a Peak Property Performance® Review. One of your buildings. One conversation. A clear, honest picture of what you actually control today, and a one-building plan you can act on whether you ever work with OpticWise or not.

*"If you don't own your data & digital infrastructure, your vendors do."*

## RECOMMENDED NEXT STEP

### Book Your DDI Review

The Clarify step of the PPP 5C™ plan, run on one of your assets — partner-led, owner-grade, no software pitch.

**BOOK YOUR DDI REVIEW →**

[data-digital-cre-review.opticwise.com](https://data-digital-cre-review.opticwise.com)

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*Own your data & digital infrastructure.  
Operate with strategic foresight. Build for the long game.*